



Published: Sunday, May 8, 2011

In government, less is more

Suppose local governments ran like the PUD

By Dave Aldrich

Ronald Reagan famously said that government isn't the solution to the problem, "government *is* the problem." He was confused. The problem is the structure of government and, more important, how it is governed.

When we take to the streets or the editorial pages to express our latest outrage about government, I suspect that we're most upset with the failure of government to be responsive, open and efficient. What we want, and should demand, is less and, therefore, better governance. We shouldn't settle for bureaucracy and bloat. Unfortunately, that's what we've got. Our local governments can't function properly, either because of laws that frustrate their purpose or because the sheer size and structure of governance render them ineffectual.

What to do?

As it happens, there is a very effective governance model that I happen to know something about. It lives and breathes at your local public utility district, the Snohomish County PUD.

By all accounts the PUD actually works. It does what it's supposed to do. So much so, that most of us take the utility for granted, which is actually a good thing.

As one of the members of the board of commissioners, I can say with some confidence that a big reason the PUD functions properly has everything to do with its governance model, which begs the question: Why not run other local governments like the PUD?

I should begin with a few words on what makes the PUD unique. In its wisdom, some 80 years ago, the Legislature devised a simple, lean method of PUD governance, consisting of just two major parts.

First, all of the PUD's authority is vested in a three-member board of commissioners. It can raise rates, dispose of and acquire property, borrow money, and generally transact all business normal to the operation of an electric or water utility. The commissioners, elected from the utility's customer base, serve staggered six-year terms.

Second, all of the executive functions are the responsibility of a general manager, appointed by the board. The general manager is the only employee of the PUD who reports directly to the commission. Every other employee falls under the jurisdiction of the general manager.

The Snohomish County PUD is not small. Its annual budget of nearly three-quarters of a billion dollars exceeds the county's. It employs about 1,000 people. Yet, despite the utility's size and reach, serving all citizens of Snohomish County and Camano Island, the PUD board meets just twice a month to direct and oversee the utility, and most of that time is taken up with briefings and policy discussions in the morning; the afternoon formal meetings often last less than a half-hour. Keep that in mind the next time you attend a school board or city council meeting.

The PUD board focuses on policy, with a long-range vision. It's the general manager who shoulders the responsibility for implementing the policies and running the organization. The board is concerned with outcomes; it is the general manager's job to deliver them. The commissioners don't meddle. We set a direction, give the general manager

adequate resources, then stay out of his way.

What are the benefits to utility customers of this simple arrangement? There are very low costs of governance, surely. But there is also greater accountability, transparency and efficiency. If things go wrong, and they have, the public knows whom to blame: the board. At the next election, they can replace a commissioner, which, on a three-member board, is usually enough to chart a different direction. Should the problem lie with the general manager, the board gets a new one.

How might a PUD governance structure apply to, say, school districts?

There are some similarities, but I call attention to one big difference. If school district boards had the authority of PUD commissions, they could simply increase revenues to provide optimum learning environments. They wouldn't have to subject the educational well-being of teachers and students to the risks of the ballot box.

Many voters will argue that they want to retain the ability to deny funds to run schools. But withholding dollars from education year after year creates a bow wave of unfunded liabilities. Sooner or later, the facilities and equipment stop working, burgeoning classroom populations undermine student learning, school books become rare or hopelessly outmoded, teachers grow cranky, and students feel cheated.

If school boards could raise revenues when they need them, and, I should add, only when they need them, there would be no capital backlogs, technology would be current and working, classrooms would be modern and well-equipped, and both teachers and students would engage in healthier learning environments.

Well-governed school districts, with PUD-like authority, would become more efficient, responsive and transparent. Over time, they, too, might be taken for granted, just like the PUD.

Applied to cities, the PUD model would eliminate the elected mayor's position and replace it with a city manager, chosen by a three-member council elected by voters. The manager would be responsible to the council. All employees would fall under the manager's purview, and it would be his or her prerogative to select department heads, as deemed necessary.

What about Snohomish County?

Voters here want to elect just about everyone, perhaps even the proverbial dog catcher, should one appear on the ballot. Let's go through the list: county executive, five county council members, the treasurer, the auditor, the court clerk, the sheriff, the assessor, and, finally, the prosecutor. Then there are the judges. Who is accountable to whom?

To be sure, each of these elected officials answers to the voters. But none is accountable to the other. Worse, in my judgment, the council has its staff of aides and policy analysts as does the executive, creating two parallel support teams. That's got to be expensive, if not also unwieldy.

Then there are the council committees. On Mondays there are an "administrative" committee session, an "operations" committee session, and a "law & justice/human services" committee session. On Tuesdays there are three more sessions, involving the "finance and development committee," the "planning and community development" committee, and finally, the "public works" committee. The "general legislative" session occurs on Wednesdays. Each of these sessions is chaired by one of the five council members. Also present are separate legislative analysts and the council's clerk. So un-PUD-like.

How might county governance change should the simple PUD structure be adopted?

The council would consist of three elected members, each representing a geographical district, of equal population, within the county's borders. The council, like the PUD board, would select the executive, who, in turn, would appoint individuals to the various positions that are now elected, as he or she deems necessary. The executive would be the only employee of county government directly reporting to the council.

There would be no committees of the council, no legislative analysts, and, therefore, no weekly sessions. All such work, if it were to exist at all, would fall under the executive's purview. Like PUD commissioners, city council members or

school board members, county councilors would work part time, with commensurate salaries.

By now, I can imagine the various elected officials across the county either cheering or seething. Certainly school boards would welcome the authority to increase revenues at their discretion, without having to beg the voters for money to properly educate our children. Elected mayors would not like my suggestions at all. County officials may be spitting out their Sunday morning coffee, then checking their blood pressure.

Yet, governments are established for the citizens' benefit, and the people should be concerned about how their institutions are governed. I could be wrong, but I think they would prefer accountability, transparency and efficiency to, well, what they've got.

Consider my words the beginning of a hypothetical conversation. It would help if readers, both within and outside government, momentarily blocked from their minds the many serious impediments to the wholesale conversions I've proffered and imagined that they were, in an obviously minor sense, "Founders," charged with establishing a governance model for cities, schools and the county.

But as you chew on or spit out my suggestions, remember this: the PUD governance model works extremely well, in my humble opinion, and it works for a very large organization that provides all of us with services we can't live without.

So, why not try it elsewhere?

About the author

Dave Aldrich is currently serving his second term as a Snohomish County PUD commissioner. He previously served for six years as a commission policy analyst for the utility. He also has worked as a forensic consultant and as a policy analyst for the state Attorney General's Office.

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